

etc. This calls for adopting a comprehensive, actionable, outcome oriented industrial policy which will enable Industry to deliver a larger role in the economy; to fulfil its role as the engine of growth and to shoulder the responsibility of adding more value and jobs.

14.8 TERM-END EXERCISES

- 1) Outline the factors that justifies the basic premise of the Industrial Policy Resolution 1956.
- 2) What do you mean by ‘industrial sickness’? How is it treated in India?
- 3) How does improved technology contribute to industrial development in an economy?

14.9 KEY WORDS

Capital Goods	: Capital goods are fixed assets such as machinery, equipment, buildings, vehicles , computers, etc. which are used in the productive process in order to produce a finished ‘consumer’ good.
Creative Destruction	: Creative destruction refers to the incessant product and process innovation mechanism by which new production units replace outdated ones.
Heavy Industries	: Industry that manufactures large pieces of equipment or machinery, or that uses large pieces of equipment or machinery to manufacture products.
Industrialisation	: Industrialisation is the process by which an economy is transformed from a primarily agricultural one to one based on the manufacturing of goods.
Industrial Sickness	: Industrial sickness usually refers to a situation when an industrial firm performs poorly, incurs losses for several years and often defaults in its debt repayment obligations.
Liberalisation	: It is the lessening of government regulations and restrictions in an economy in exchange for greater participation by private entities.

14.10 REFERENCES

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- 3) Industrial Policy – 2017, A Discussion Paper. Department of Industrial Policy and Promotion, Ministry of Commerce and Industry.

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4.11 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 14.2 and answer.
- 2) See Section 14.3 and answer.

Check Your Progress 2

- 1) See Section 14.4 and answer.
- 2) See Sub-section 14.4.1 and answer.
- 3) See Sub-section 14.4.2 and answer.

Check Your Progress 3

- 1) See Section 14.5 and answer.
- 2) See Section 14.6 and answer.

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UNIT 15 MICRO, SMALL AND MEDIUM ENTERPRISES (MSMEs): ISSUES AND POLICY

Structure

- 15.0 Objectives
- 15.1 Introduction
- 15.2 What are Micro, Small and Medium Enterprises (MSMEs)?
- 15.3 Significance of MSMEs in the Indian Economy
 - 15.3.1 Contribution of MSMEs in the Gross Domestic Product (GDP)
 - 15.3.2 Employment in the MSME Sector
 - 15.3.3 Comparison of MSME Export to Total Exports
- 15.4 Comparison of the MSME Sector with the Overall Industrial Sector
- 15.5 Issues and Challenges Faced by the MSME Sector
 - 15.5.1 Impact of Demonetisation and GST on the MSME Sector
 - 15.5.2 Impact of the COVID-19 Pandemic on the MSME Sector
- 15.6 Policy Initiatives by the Government
 - 15.6.1 Legislation and Institutional Support System
 - 15.6.2 Formalisation of MSMEs
- 15.7 Let Us Sum Up
- 15.8 Key Words
- 15.9 References
- 15.10 Answers or Hints to Check Your Progress Exercises

15.0 OBJECTIVES

After reading and studying this unit, you will be able to:

- define Micro Small and Medium Enterprises (MSMEs);
- discuss the significance of MSMEs in the Indian Economy;
- evaluate the performance of the Indian MSME sector in terms of contribution to GDP and employment share;
- compare the performance of the MSME sector with that of the overall industrial sector;
- identify the issues and challenges faced by this sector; and
- outline the policy framework for the MSME sector.

15.1 INTRODUCTION

Micro, Small and Medium Enterprise (MSME) sector has emerged as a significant sector of the Indian economy, contributing remarkably to employment generation, entrepreneurship, innovation, exports, and inclusive growth of the economy.

Likewise, the sector has been regarded as the engine of growth worldwide, in both, the developing as well as the developed countries.

As per the WTO, Micro, small and medium-sized enterprises (MSMEs) are the backbone of many economies, representing 95 per cent of all companies worldwide and accounting for 60 per cent of employment. Many MSMEs depend on international trade for their activities, either because they export their products through direct or indirect channels, or because they import inputs to manufacture the products that they sell domestically. They are major employers of women and young people, and a key driver of innovation. Nevertheless, the sector is not able to contribute to its potential due to some issues faced by MSMEs.

These issues can be classified as being external and internal. External issues are caused due to macro environmental factors– economic and political– that are beyond the control of the enterprises, for example regulatory barriers, access to finance, corruption, competition, lack of skilled labour, changing global economic scenario, etc. Internal issues are related to factors that are within the enterprise domain, for example, lack of managerial competence and appropriate technology, ineffective marketing and distribution techniques, etc. In response to these issues, from time to time, government has been coming up with various policies to assist the MSME sector in various ways including, enterprise and skill development, technological up gradation, access to finance, cluster development, marketing assistance, etc.

However, several issues continue to persist, more in some areas than others. It is imperative to realise the importance of MSMEs, recognise the factors hindering their growth and address through appropriate policies. This unit seeks to do just that. It begins with defining the MSME sector, which is followed by a discussion on the significance of the MSME sector in the Indian Economy. Subsequent sections will involve evaluating the performance of the Indian MSME sector in terms of its contribution to GDP and employment and comparing the performance of the MSME sector with that of the overall industrial sector. The unit also carries a section identifying the issues and challenges faced by the MSME sector, followed by a section outlining the policy framework for the sector.

15.2 WHAT ARE MICRO, SMALL AND MEDIUM ENTERPRISES (MSMEs)?

The term ‘MSME’ is normally used to describe small industrial or business units in private sector. Considering the global trend of classifying the MSME sector, the definition differs widely across jurisdictions and depends upon the government policies of the country. As per International Finance Corporation (2014) report, among the 267 definitions used by different institutions in 155 economies, the most widely used variable for defining an MSME is the number of employees. Other variables commonly found in MSME definitions are turnover as well as value of assets, with few other variables being the loan size, formality, years of experience, type of technology, size of the manufacturing space, and initial investment amount, among others. The definition according to the World Bank is that a business is classified as MSMEs when it meets two of the three criteria – employee strength, size of assets or annual sales (refer Table 15.1).

Table 15.1: Definition of the MSME sector as per the World Bank

Medium	<300	<USD 15 Million <INR 750 Million	<USD 15 Million <INR 750 Million
Small	<50	<USD 3 Million <INR 150 Million	<USD 3 Million <INR 150 Million
Macro	<10	<USD 10, 000 <INR 500, 000	<USD 10,000 <INR 500,000

However, in India, MSMEs are presently defined based on investment in plant and machinery/equipment. The enactment of Micro, Small & Medium Enterprises Development (MSMED) Act, in 2006 by the Government of India (GOI) gave a legal basis and framework to the micro, small and medium enterprises by defining and classifying these enterprises on a uniform basis. This classification covers industries both under manufacturing and service sector and the said limits (refer Table 15.2) are excluding the cost of land, building and other specified items.

Table 15.2: Defining MSME for Manufacturing and Service sector

Manufacturing Sector	
Enterprise Category	Investment in Plant & Machinery
Micro Enterprises	Does not exceed twenty five lakh rupees
Small Enterprises	More than twenty five lakh rupees but does not exceed five crore rupees
Medium Enterprises	More than five crore rupees but does not exceed ten crore rupees
Service Sector	
Enterprise Category	Investment in Equipment
Micro Enterprises	Does not exceed ten lakh rupees
Small Enterprises	More than ten lakh rupees but does not exceed two crore rupees
Medium Enterprises	More than two crore rupees but does not exceed five crore rupees

Thus, an enterprise, engaged in the manufacture or production of goods pertaining to any industry specified in the first schedule to the Industries (Development and Regulation) Act, 1951, is defined as– (i) a micro enterprise, where the investment in plant and machinery does not exceed twenty– five lakh rupees; (ii) a small enterprise, where the investment in plant and machinery is more than twenty-five lakh rupees but does not exceed five crore rupees; or (iii) a medium enterprise, where the investment in plant and machinery is more than five crore rupees but does not exceed ten crore rupees. Similarly, an enterprise engaged in providing or rendering of services is defined as– (i) a micro enterprise, where the investment in equipment does not exceed ten lakh rupees; (ii) a small enterprise, where the investment in equipment is more than ten lakh rupees but does not exceed two crore rupees; or (iii) a medium enterprise, where the investment in equipment is more than two crore rupees but does not exceed five crore rupees.

The definition based on investment in plant and machinery/equipment is often criticised for not reflecting the current increase in price index of plant and

machinery/equipment. Furthermore, MSMEs due to their informal and small scale of operations often do not maintain proper books of accounts and hence find it difficult to get classified as MSMEs as per the current definition. In response to this and to facilitate ease of doing business, the Government has proposed turnover-based definition by replacing the current investment-based definition of MSMEs. The proposed definition is found to be rational, transparent, progressive and easier to implement with the introduction and operationalisation of Goods and Services Tax(GST).

Proposed Definition

Government of India has proposed to classify MSMEs based on turnover as mentioned below:

- i) A micro enterprise will be defined as a unit where the annual turnover does not exceed five crore rupees;
- ii) A small enterprise will be defined as a unit where the annual turnover is more than five crore rupees but does not exceed seventy-five crore rupees;
- iii) A medium enterprise will be defined as a unit where the annual turnover is more than seventy-five crore rupees but does not exceed two hundred and fifty crore rupees.

Check Your Progress 1

- 1) What are Micro, Small and Medium Enterprises (MSMEs)? Also state the criticism involved in defining these enterprises on the basis of investment in Plant and machinery/equipment.

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- 2) Briefly explain how MSME (Manufacturing) are different from MSME (Services)?

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15.3 SIGNIFICANCE OF MSMES IN THE INDIAN ECONOMY

India is currently among the fast growing economies of the world. The MSME sector in the country occupies the second position next only to agriculture in terms of employment generation. It has been contributing significantly to the

expansion of entrepreneurial base through business innovations. The sector consistently feeds the domestic and the international value chains as manufacturers, suppliers, distributors, retailers, contractors and service provider by accounting for a substantial segment of the economy's industrial and service units. Besides this, MSMEs are widening their domain across sectors of the economy, producing diverse range of products and services to meet demands of domestic as well as global markets.

15.3.1 Contribution of MSMEs in the Country's Economy

As per the Central Statistics Office (CSO), Ministry of Statistics and Programme Implementation, the contribution of MSME Sector in country's Gross Value Added (GVA) and Gross Domestic Product (GDP), at current prices for a 5-year period is as below (Table 15.3):

Table 15.3: Contribution of MSMEs in the Indian Economy (at Current prices)

(Figures in Rs. Crores adjusted for FISIM ¹ at current prices)						
Year	MSME GVA	Growth (%)	Total GVA	Share of MSME in GVA (%)	Total GDP	Share of in MSME GDP (in %)
2011-12	2622574	-	8106946	32.35	8736329	30.00
2012-13	3020528	15.17	9202692	32.82	9944013	30.40
2013-14	3389922	12.23	10363153	32.71	11233522	30.20
2014-15	3704956	9.29	11504279	32.21	12467959	39.70
2015-16	4025595	8.65	12566646	32.03	13764037	29.20
2016-17	4405753	9.44	13841591	31.83	15253714	28.90

Source: Central Statistics Office (CSO), Ministry of Statistics and Programme Implementation

The MSME sector accounts for about 95 per cent of the industrial units, 45 per cent of manufacturing output, and 40 per cent of total exports of the country. The sector has shown impressive growth in terms of parameters like number of units, production, employment, exports in the economy. The sector has been performing appreciably better than the overall rate of GDP (average 8 per cent growth per annum) and the overall industrial output (measured by Index of Industrial Production-IIP). As per a press release by Press Information Bureau of a "Roadmap for Growth of MSMEs" in August 2019, currently MSME contributes 29 per cent to the country's GDP and the government intends to take this to 50 per cent in the next 5 years. The sector gives employment to about 11 crore people currently, which the Ministry of MSME intends to take to 15 crore in the next 5 years. To achieve this, the Ministry has underlined the need to create new channels for funding, making the sector investor-friendly, bringing in technological innovations, and reducing logistics cost to make MSME products competitive, providing adequate skilling and market support. There is scope for diversification in the MSME sector. Honey production, bamboo, bio-fuel production, fisheries, dairy, Agarbatti making, hydroponics, water transport like Ro-Ro, Ro-Pax, e-transport, mechanised fishing trawlers etc. are some of the new areas for ventures. Also, since MSMEs are less capital intensive, more employment-friendly, have easier access to raw materials, subsidies and other incentives under cluster programmes, there is huge potential for the sector to

grow as ancillary industries to unleash greater industrial growth. Development of the sector is therefore extremely important as it holds the key to inclusive growth and plays a pivotal role in holistic development of the country.

As per the MSME Annual report 2019-20, the state of Uttar Pradesh had the largest estimated number of MSMEs with a share of 14.20 per cent of MSMEs in the country. West Bengal comes a close second with a share of 14 per cent. The top ten States together accounted for a share of 74 per cent of the total estimated number of MSMEs in the country.

The MSME sector has the potential to emerge as the backbone of Indian economy and to continue as an engine of growth provided policy environment— that addresses issues in the areas like entrepreneurial skill development, financial resources, human resources, technology and innovations, international market linkages and bilateral trade agreements, and infrastructural support..

15.3.2 Employment in the MSME Sector

MSME sector in India creates largest employment opportunities, both in terms of self-employment and wage-employment, for the Indian labour force, next only to agriculture. MSMEs are thought to have lower capital-output and capital-labour ratios than large-scale industries, and therefore, better serve growth and employment objectives. The sector in India has grown significantly since 1960 – with an average annual growth rate of 4.4 per cent in the number of units and 4.62 per cent in employment (currently employing 110 million). Not only do MSMEs generate the highest employment per capita investment, they also go a long way in checking rural-urban migration by providing people living in isolated areas with a sustainable source of employment. Apart from this, MSMEs also help in industrialisation of rural and backward areas, thereby, reducing regional imbalances, assuring more equitable distribution of national income and wealth.

As per the National Sample Survey (NSS) 73rd round conducted during the period 2015-16, MSME sector has been creating 111 million jobs in the rural and the urban areas across the country. Micro sector enterprises provided employment to 107.7 million persons that in turn accounts for around 97 per cent of total employment in the sector. For the Small and the Medium sectors, the employment shares were around 2.88 per cent and 0.16 per cent, respectively. As far as the employment in the MSME sector based on broad activity category-wise is concerned, the respective shares are given in the following Table 15.4:

**Table 15.4: Estimated Employment in MSME sector
(Broad Activity Category Wise)**

Broad Activity Category	Employment (in Lakh)			Share (%)
	Rural	Urban	Total	
Manufacturing	186.56	173.86	360.41	32
Trade	160.64	226.54	387.18	35
Other Services	150.53	211.69	362.22	33
Electricity*	0.06	0.02	0.07	0
All	497.78	612.10	1109.89	100

Source: National Sample Survey (NSS) 73rd round 2015-16

15.3.3 Comparison of MSME Export to Total Exports

The MSME sector in India is contributing more than 40 per cent to exports. The share of MSME exports has increased from 43 per cent in 2012-13 to 49 per cent in 2017-18. Further, the trend growth of MSME exports is in line with the total exports of the country. (Refer Table 15.5)

Table 15.5: Share of MSME Exports in Total Exports (in US \$)

Year	Total Exports	Exports by MSME	Share of MSME Exports *(%)
2012-13	300400	127992	43
2013-14	314415	133313	42
2014-15	310352	138896	45
2015-16	262291	130768	50
2016-17	275852	137068	50
2017-18	303376	147390	49

Source: Central Statistics Office (CSO), Ministry of Statistics and programme Implementation

As can be seen from Figure 15.1, MSME exports grew by 4.19 per cent in 2014-15, which declined to -5.85 per cent in 2015-16. During the same period total exports also declined from -1.29 per cent to -15.49 per cent. During 2016-17 and 2017-18 there was positive growth in case of both MSME exports and total exports.

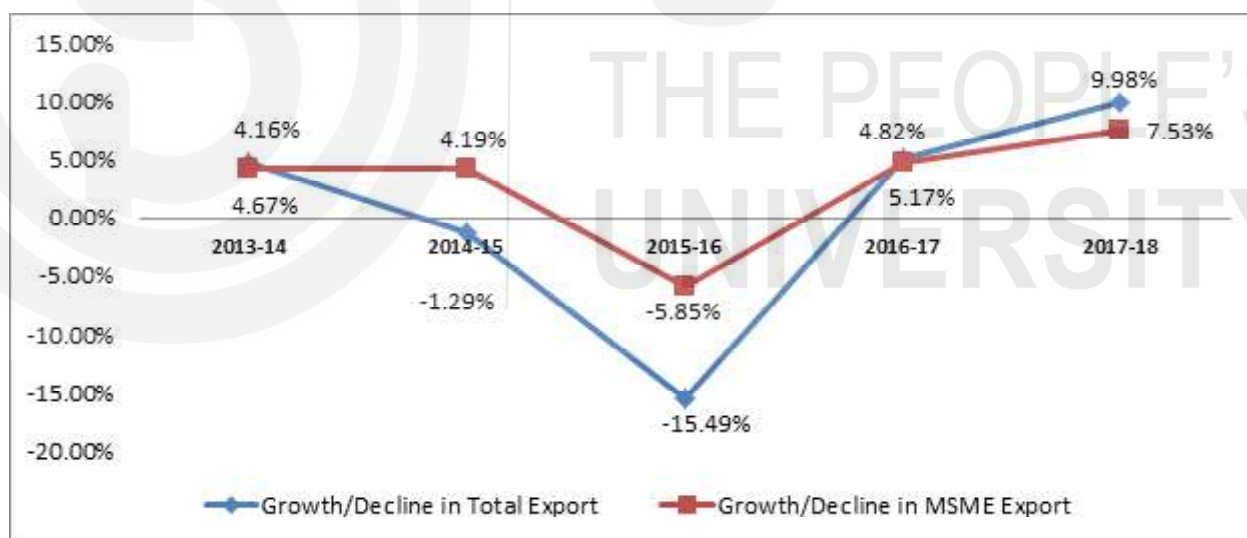


Fig. 15.1: Growth of Exports by MSME in Total Exports

Source: RBI & Press Information Bureau/Directorate General of Commercial Intelligence and Statistics. (DGCIS)

15.4 COMPARISON OF THE MSME SECTOR WITH THE OVERALL INDUSTRIAL SECTOR

MSMEs provide employment opportunities at comparatively lower capital cost and act as ancillary units for large enterprises. Figure 15.2 depicts the growth rate of MSME sector in comparison with the overall industrial sector during last sixteen years.

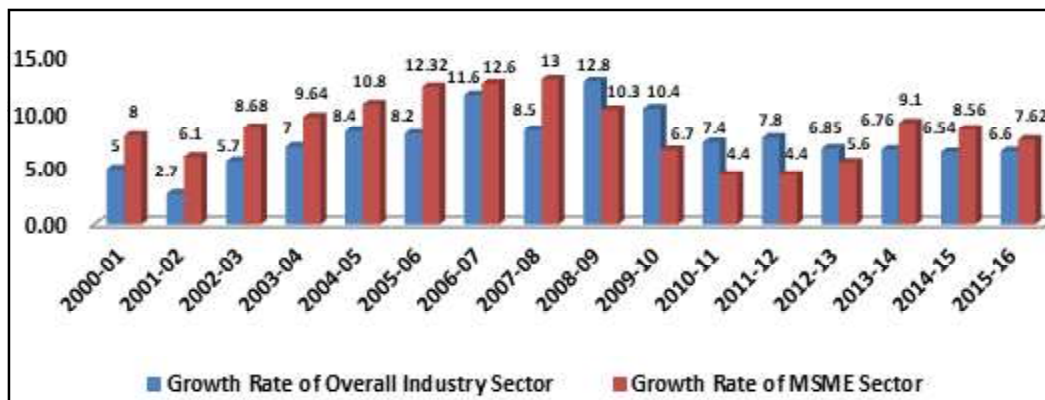


Fig. 15.2: Comparison of MSME sector vis-à-vis Overall Industry

Source: Annual Reports of Ministry of MSME

The MSME sector has in many years registered a higher growth rate than the overall growth of industrial sector. During, the period 2000 to 2006, India witnessed industrial growth in the range of 5-8 per cent annually. Subsequently, it recorded double digit growth for 4-5 years, before slowing down to around 6 per cent growth during 2015-2016. The MSME sector improved its growth performance during 2003–2009 and recorded a growth of over 10 per cent during 2008-09. Introduction of MSMED Act, 2006 apparently played a role here. However, post 2008 global financial crisis, MSME growth fell sharply and hovered around 4-7 per cent.

Check Your Progress 2

- 1) Discuss the contribution of the MSME sector to the India economy.
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- 2) MSME sector has been performing better than the overall industrial sector. Do you agree? Give the possible reasons for your agreement or disagreement with the statement.
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- 3) Briefly discuss the reasons behind the MSME sector becoming the largest employer next only to the agriculture in the Indian economy.
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